
UNIT 1 ECONOMIC AGENTS

Structure

- 1.0 Objectives
- 1.1 Introduction
- 1.2 The Nature of Financial System
 - 1.2.1 Financial Institution
 - 1.2.2 Financial Markets
 - 1.2.3 Financial Instruments
 - 1.2.4 Financial Services
- 1.3 Participants in Financial Markets
- 1.4 Financial Markets
 - 1.4.1 Types of Financial Markets
 - 1.4.2 Importance and Functions of Financial Markets
- 1.5 Financial Instruments
 - 1.5.1 Types of Financial Instruments
- 1.6 Let Us Sum Up
- 1.7 Key Words
- 1.8 Some Useful References
- 1.9 Answers/Hints to Check Your Progress Exercises

1.0 OBJECTIVES

After going through this unit, you will be able to:

- Explain the concept and features of financial system;
- Describe types of financial institutions, financial markets, financial instruments;
- Discuss the functions of financial institutions and markets;
- Highlight the importance of financial institutions; and
- Recognise different financial instruments and analyse the need for regulating financial institutions.

1.1 INTRODUCTION

You must have read in Microeconomics that economic agents are individuals or entities that participate in economic activities by making choices, engaging in transactions, and influencing the allocation of resources in an economy. The main economic agents are households,

firms, government, financial institutions etc. These economic agents interact with each other in markets. They influence demand and supply, prices and overall functioning of the economy. In this unit, we will discuss the main economic agents in the context of financial markets and institutions. For example, households play an important role in financial markets principally as savers and also as borrowers. They save money by depositing it in banks or investing in various financial instruments like savings accounts, bonds, stocks etc. At the same time, they also borrow money for various purposes like buying a house, car etc. Similarly, firms act as borrowers and investors, financial institutions act as intermediaries, and the government as regulator and participant in financial activity in the economy.

The economic agents collectively influence the flow of money, credit, and investments in financial markets. This in turn impacts interest rates, asset prices, and overall economic stability.

Consider if you were to start a business that manufactures special equipment for persons with disabilities which ease their day-to-day functioning, but you have no funds to invest in this special equipment. At the same time, there is Raj who has inherited a huge amount of money and wants to invest it in some business. If you and Raj could get together, both of you could be in a win-win situation where you get to have funds for your business and Raj is able to invest his idle money. In this example, both you and Raj are economic agents. Financial markets (bond and stock markets) and financial intermediaries (banks, insurance companies, and pension funds) have the basic function of getting people such as you and Raj together by moving funds from those who have a surplus of funds (Raj) to those who have a shortage of funds (you).

Financial institutions, financial markets, financial services, financial instruments, financial practices and financial transactions together form **the Financial System**. The term financial institutions refer to all kinds of entities which intermediate and facilitate financial transactions of both individual and corporate clients. Essentially, financial institutions are the intermediaries between the savers and borrowers of the money. They transfer financial resources from the savers to the investors or borrowers. Financial institutions have several functions that assist the economic agent in fulfilling their various needs. They deal in all types of finance-related businesses thus playing a crucial role in the economy.

There are different types of financial institutions: banking and non-banking. The function of these institutions is different and they provide different services and have different levels of risk associated with it. In this unit, we will explore mainly the functions, roles, and types of financial institutions, financial markets and financial instruments.

1.2 THE NATURE OF FINANCIAL SYSTEM

A financial system is a complex, well-integrated set of sub-systems of financial institutions, markets, instruments, and services which facilitate the transfer and allocation of funds, efficiently and effectively between different economic agents.

There are four constituents of a financial system, viz. (i) financial institutions, (ii) financial markets, (iii) financial instruments, and (iv) financial services.

1.2.1 Financial Institutions

Financial institutions are business organisations that act as mobilisers and depositors of savings and as purveyors of credit or finance. They also provide various financial services to the community.

Financial institutions have been variously classified. Two important classifications are as follows:

- A) Banking institutions and non-banking institutions
- B) Intermediaries and non-intermediaries.

A) Banking Institutions and Non-banking institutions

The banking institutions have quite a few things in common with the non-banking ones, but their distinguishing character lies in the fact that, unlike other institutions, (i) they participate in the economy's payments mechanism, i.e., they provide transactions services, (ii) their deposit liabilities constitute a major part of the national money supply, and (iii) they can, as a whole, create deposits or credit which is money. The distinction between the two has been highlighted by Sayers by characterizing the former as “**creators**” of credit, and the latter as “**purveyors**” of credit.

B) Intermediaries and non-intermediaries

Intermediaries intermediate between savers and investors; they lend money as well as mobilise savings; their liabilities are towards the ultimate savers, while their assets are from the investors or borrowers. Non-intermediary institutions are in the lending business but their resources are not directly obtained from the savers. All banking institutions are intermediaries, many non-banking institutions also act as intermediaries and when they do so they are known as **non-banking financial intermediaries**. Some examples of non-banking financial intermediaries include mutual funds, investment funds, insurance companies, and pension funds. These institutions provide a valuable alternative to traditional bank financing.

1.2.2 Financial Markets

Financial markets are a mechanism enabling participants to deal with financial claims. The markets also provide a facility in which their demands and requirements interact to set a price for such claims. The participants on the demand and supply sides of these markets are financial institutions, agents, brokers, dealers, borrowers, lenders, savers, and others who are interlinked by the laws, contracts, covenants and communications networks.

Financial markets have been variously classified. Two important classifications are **A. Primary market and secondary market and B. Money market and Capital market**. We will discuss about financial markets in details in section 1.4.

1.2.3 Financial Instruments

A financial instrument is a claim against a person or an institution for the payment at a future date of a sum of money and/or a periodic payment in the form of interest or dividend. The term 'and/or' implies that either of the payments will be sufficient but both of them may be promised. We will discuss more about financial instruments in section 1.5.

1.2.4 Financial Services

Financial intermediaries provide key financial services such as merchant banking, leasing, hire purchase, credit rating, etc. Financial services rendered by financial intermediaries bridge the gap between lack of knowledge and information on the part of investors and their participation in financial markets and working with increasingly sophisticated financial instruments. Some of the important functions of Financial Services are:

- 1) **Facilitating Transactions:** Enabling the exchange of goods and services within the economy.
- 2) **Mobilizing Savings:** Gathering savings that would otherwise have limited investment opportunities.
- 3) **Allocating Capital:** Directing capital funds to finance productive investments.
- 4) **Monitoring Management:** Ensuring that allocated funds are used as intended.

Financial service institutions provide a diverse range of services to cater to the needs of individual users. Some of them are:

- 1) **Provision of funds:**
 - a) Venture capital
 - b) Banking services
 - c) Asset financing

d) Trade financing

e) Credit cards

2) Managing investible funds:

a) Portfolio management

b) Merchant banking

c) Mutual and pension funds

3) Risk financing:

a) Project preparatory services

b) Insurance

c) Export credit guarantee

4) Consultancy services:

a) Project preparatory services

b) Project appraisal

c) Business advisory services

d) Valuation of investments

e) Credit rating

f) Merger and acquisition.

As discussed above, the financial services provided by these intermediaries close the gap between investors' lack of knowledge and their involvement in financial markets. This helps to facilitate informed decision-making and promotes effective engagement with increasingly sophisticated financial instruments.

1.3 PARTICIPANTS IN FINANCIAL MARKETS

The important participants in financial markets are business firms, investors, brokers, speculators, hedgers, and arbitrageurs. Firms use stock and bond markets to raise capital from investors; speculators look up to various asset classes to make directional bets on future prices; hedgers use derivatives markets to mitigate various risks; and arbitrageurs seek to take advantage of mispricing or anomalies observed across various markets. Brokers often act as mediators that bring buyers and sellers together, earning a commission or fee for their services. They are third parties that facilitate trades between buyers and sellers but who do not take an actual position in a stock.

In a stock market, retail and institutional investors, traders, as well as market makers (MMs) and specialists take part and maintain liquidity and provide two-sided markets.

There are two important participants, first, those who have excess funds (the savers), and those who need funds (the borrowers). Bringing these two parties together are financial institutions and financial markets. The participants in the financial system deal in exchange of money, capital, assets, and securities. Financial institutions work in tandem with each other to create a fully interdependent financial system. The importance of financial institutions lies in the fact that they provide services which lead to a smooth functioning of the financial system. The financial institutions play the following role in the economic development of the country:

- 1) Help to form financial resources through mobilization of savings of the households, corporate and the public sector.
- 2) Channelise resources or investments to economic agents in different sectors of an economy: agriculture, manufacturing and services for cultivation of land, production of goods and provision of services.
- 3) Meet short and long-term financial needs.
- 4) Banking institutions multiply the monetary resources by the process of credit creation.
- 5) Transfer surplus funds from one part of the economy to another keeping in mind the national priorities and the market demand.
- 6) Encourage people to divert their physical assets into financial assets and make that available for growth of production, trade and commerce.
- 7) Provide a variety of financial assets to suit the different needs of investing public and corporate.
- 8) Facilitates mechanisms to control the risks and address uncertainties for the stability of the financial system. They reduce the risk of capital loss through diversification of funds to different industries.
- 9) Encourage entrepreneurial skills and assist with new projects.
- 10) Help accelerate the process of economic growth of the country.
- 11) Enable better decision-making.
- 12) Make financial resources available to the Government.

In this context, it is worthwhile to remember the recession of 2008-09 which underscores the importance of financial institutions to the economy. Businesses, for instance, depend on financial institutions for money. When they can't get it, production does not expand or may even be curtailed, unemployment rises, mortgage and other credit defaults increase, and people and businesses stop spending money, which reduces income for other people and businesses, and reduces tax revenue for governments, which causes them to cut spending, which causes more unemployment, etc. This is why governments around the world injected trillions of money into their financial

institutions during the recession to prevent their collapse and the subsequent stalling of the economy. Indeed, financial system with its institutions is the plumbing system of the economy and when it freezes or gets blocked the flow of money in the economy gets affected, undermining economic activity. It is desirable therefore to take all such measures that ensure the stability of the financial system in an economy to take proper measures.

Financial institutions serve most people in some way, as financial operations are a critical part of any economy, with individuals and companies relying on financial institutions for transactions and investing. They develop the financial securities and provide the financial markets where lenders, borrowers, investors, speculators, and hedgers can exchange money for future payments in the form of interest, for ownership interests, such as stocks, for the payment of future contingent claims, such as with options and derivatives, and for sharing risk, such as the pooling of insurance premiums for financial protection. Thus, financial institutions allow the exchange of funds between lenders, investors, and borrowers, the more efficiently this works the better it is for an economy.

1.4 FINANCIAL MARKETS

As discussed earlier, financial market is referred to a space, where the selling and buying of financial assets and securities take place. As noted, the trade of buying and selling *securities, derivatives, commodities, forex*, etc. is carried on in financial markets. Banks, financial institutions, insurance companies, mutual funds, pension trusts etc. are participants in financial markets.

Financial markets (bonds and stocks), instruments (derivatives, bank CDs, and futures), and institutions (banks, pension funds, insurance companies, and mutual funds) give investors the opportunities to choose specific services that meet their needs. Financial markets and financial institutions together contribute to economic growth. Financial markets are vital for the smooth operation of modern economies.

Financial market is a term used to denote the total infrastructure which facilitates the *trade of financial securities*. Examples of financial securities are *currency, bonds, stocks, derivatives, commodities, forex etc.* Businesses and investors can go to financial markets to raise money to grow their businesses and to make more money, respectively. They rely heavily on informational transparency to ensure that the markets set prices that are efficient and appropriate. The market prices of securities may not be indicative of their intrinsic value because of macroeconomic forces like the monetary and fiscal policies of the government.

The financial markets are broad in scope and scale. Despite covering many different asset classes and having various structures and regulations, all financial markets work essentially by bringing together buyers and sellers in

some asset or contract and allowing them to trade with one another. This is often done through an auction or price discovery mechanism.

The important participants in financial markets are intermediaries like banks, brokers, custodians, depositories, etc. Without intermediaries, the financial market cannot run seamlessly and efficiently. They are agencies which work in an assisting role. They execute the function of fund collection from lenders, and *disbursement of capital* to borrowers. They also *handle* financial securities like stocks, mutual fund units, bonds, deposit certificates etc., on behalf of the lender and borrowers.

Equilibrium in financial markets is usually determined by assuming that there is perfect competition, and by using the well-known tools of demand and supply. Equilibrium in financial markets is established when the expected demand for funds (credit) for short-term and long-term investments matches with the planned supply of funds generated out of saving and credit creation. In other words, the equality of total desired borrowing with the total desired lending is necessary for establishing an equilibrium rate of interest.

1.4.1 Types of Financial Markets

There are different types of financial markets. They are discussed as follows:

- **Over the Counter (OTC) Market:** They manage public stock exchange dealing usually with small companies that can be traded cheaply and have less regulation.
- **Bond Market:** A bond market is a place where investors loan money on bonds as a security for a set of times at a predefined rate of interest. Bonds are issued by governments, corporations, states, municipalities, etc.
- **Money Market:** They trade in products with highly liquid short-term maturities (of less than one year) and are characterized by a high degree of safety and a relatively low return on interest. At the wholesale level, the money markets involve low-volume trades between institutions and traders. At the retail level, they include money market mutual funds bought by individual investors and money market accounts opened by bank customers. Individuals may also invest in the money markets by buying short-term papers.
- **Derivatives Market:** A derivative is a contract between two or more parties whose value is based on an agreed-upon underlying financial asset (like a security) or set of assets (like an index). Derivatives are secondary securities whose value is solely derived from the value of the primary security that they are linked to. In and of itself a derivative is worthless. Rather than trading stocks directly, a derivatives market trades in *futures and options contracts*, and other advanced financial products,

that derive their value from underlying instruments like bonds, commodities, currencies, interest rates, market indexes, and stocks.

Future markets are where future contracts are listed and traded. Unlike forwards, which trade OTC, futures markets utilize standardized contract specifications, are well-regulated, and utilize clearing houses to settle and confirm trades. Options markets list and regulate options contracts. Both futures and options exchanges may list contracts on various asset classes, such as equities, fixed-income securities, commodities, and so on.

- **Commodities Markets** are venues where producers and consumers meet to exchange physical commodities such as agricultural products (e.g., corn, livestock, soybeans), energy products (oil, gas, carbon credits), precious metals (gold, silver, platinum), or “soft commodities” (such as cotton, coffee, and sugar). The bulk of trading in these commodities takes place in spot markets, where physical goods are exchanged for money. Forwards, futures, and options on commodities are exchanged both OTC and on listed exchanges around the world.
- **The Forex Market** is the market in which participants can buy, sell, hedge, and speculate on the exchange rates between currency pairs. The forex market is the most liquid in the world, as cash is the most liquid of assets. The forex market is also decentralized and consists of a global network of computers and brokers from around the world. The forex market is made up of banks, commercial companies, central banks, investment management firms, hedge funds, and retail forex brokers and investors.
- **Cryptocurrency Markets:** Since 2009, the world has seen the introduction and rise of cryptocurrencies such as Bitcoin and Ethereum. They are decentralized digital assets that are based on blockchain technology. Hundreds of cryptocurrency tokens are available and traded globally across a patchwork of independent online crypto exchanges. These exchanges host digital wallets for traders to swap one cryptocurrency for another, or fiat monies such as dollars or euros. Because the majority of crypto exchanges are centralised platforms, users are susceptible to hacks or fraud. Decentralized exchanges are also available that operate without any central authority. These exchanges allow direct peer-to-peer (P2P) trading of digital currencies without the need for an actual exchange authority to facilitate the transactions. Futures and options trading are also available on major cryptocurrencies.

Having this backdrop of types of financial markets, they can be further classified based on their nature of transactions:

1) Nature of Claim:

- a) Debt Market where fixed bonds and debentures are exchanged between investors.

- b) Equity Market is a place for investors to deal with equity.

2) Maturity of Claim:

- a) Money Market deals with short-term funds such as a certificate of deposits, treasury bills, and commercial papers, etc. which mature within twelve months.
- b) Capital Market trades medium and long-term financial assets, that is, securities having a maturity period of one year or more.

3) Timing of Delivery:

- a) Cash Market is a marketplace where trade is completed in real-time.
- b) Futures Market where the delivery or compensation of products is taken in the future specified date.

4) Organizational Structure:

- a) The exchange-traded Market has a centralised system with a patterned procedure.
- b) Over-the-Counter Market has a decentralised organization with customised procedures.

5) Nature of transaction

- a) The primary markets deal in new financial claims or new securities, and, therefore, they are also known as 'new issue markets'. They mobilize savings and they supply fresh or additional capital to business units.
- b) Secondary markets deal in securities already issued or existing or outstanding. They do not contribute directly to the supply of additional capital; they do so indirectly by rendering securities issued on the primary market liquid.

6) Regulation status

- a) Unorganized financial market is old Indigenous market mainly made of indigenous bankers, money lenders etc.
- b) Organized financial market comes under the regulatory purview of RBI and SEBI.

1.4.2 Importance and Functions of Financial Markets

The financial market allocates limited resources to the nation's economy. Without them, capital cannot be allocated efficiently. Economic activity such as commerce and trade, investment, and production would be greatly diminished. The financial market enables efficient trade of securities, and transfer of funds, between lenders and borrowers. It is the financial market which creates securities for investment. People who have surplus funds invest